

HDFC Bank: Post-Merger Equity Performance and the Path to Re-Rating

EXECUTIVE SUMMARY

The merger of HDFC Bank with its parent, HDFC Ltd, was billed at the time as a generational restructuring — and it did produce a balance sheet of unprecedented scale. Post-merger equity performance, however, has been marked by heavy scrutiny, valuation compression, and visible institutional rotation out of the stock. Folding a large mortgage book into a commercial banking structure changed the combined entity's cost of funds, liquidity position, and return profile in ways the market is still working through. This note covers the mechanics of that integration, the resulting drag on net interest margin, the deposit-mobilization imperative, and the conditions likely required for a valuation re-rating.

1. Balance Sheet Reconfiguration: The Liquidity and Margin Drag

The core driver of post-merger underperformance has been the friction of combining two structurally different balance sheets. Pre-merger, HDFC Bank ran an industry-leading NIM on the back of a large, low-cost CASA franchise; HDFC Ltd, by contrast, funded a long-duration mortgage book largely through wholesale borrowings and bonds — a materially more expensive liability mix.

Margin compression. On integration, the combined entity absorbed HDFC Ltd's wholesale liabilities without a matching increase in low-cost retail deposits. Blended cost of funds rose, and the need to mobilize fresh deposits in a high-rate environment added further pressure on interest expense. Loan yields — particularly on the mortgage book — stayed fairly rigid in the near term, so the mismatch showed up directly in NIM, which came down from historical highs above 4.0% into a 3.4–3.6% range, with a corresponding effect on NII growth.

Regulatory liquidity burden. NBFCs like HDFC Ltd were not subject to CRR and SLR requirements. Post-merger, the bank had to allocate significant liquidity almost overnight to bring the newly acquired liability base into compliance — a "dead capital" drag that mechanically compresses near-term ROA.

2. The Operational Priority: Deposit Growth and the CD Ratio

Restoring HDFC Bank's historical valuation premium depends, above all, on deposit mobilization. The market is watching closely for the bank's ability to grow deposits faster than loans, bringing down a credit-deposit (CD) ratio that surged past 100% post-merger — a level implying the bank was funding loan growth disproportionately through wholesale sources.

Two dynamics complicate this. First, in a higher-rate environment depositors have been rotating out of low-yield CASA balances into term deposits, which keeps the overall cost of deposits elevated. Second, management faces a genuine trade-off: push loan growth and sacrifice margin by chasing costlier deposits, slow loan growth and cede market share, or hold the current CD ratio and accept continued reliance on wholesale funding. The market appears to be pricing in the second path — moderated loan growth as the bank prioritizes rebuilding its deposit franchise.

3. The Synergy Case: Cross-Selling and Operating Leverage

The near-term mechanics are a headwind, but the longer-term thesis rests on cross-sell synergies that the standalone entities could not access.

A mortgage is typically the stickiest product a retail bank can hold, and bringing HDFC Ltd's mortgage book directly into the bank gives it a large, captive customer base for higher-margin retail products. The bank is actively cross-selling salary accounts, savings accounts, and term deposits into this base on the liability side; on the asset side, mortgage customers tend to carry prime credit

profiles, making them good candidates for unsecured personal loans, credit cards, and auto loans — higher-yielding assets that help offset the lower-yielding mortgage book.

Separately, the branch network is being rationalized to remove overlap, and as one-time integration costs work through the P&L, the cost-to-income ratio should decline, letting a greater share of operating profit flow through to earnings.

4. Valuation: The Path to Re-Rating

The market's framing of the stock has shifted from a growth-at-any-price premium to something closer to a "show me" story — institutional investors want sequential evidence of margin stabilization before re-committing capital in size.

HDFC Bank historically traded at a premium P/B multiple, often above 3.0x, underpinned by pristine asset quality and consistent 18%+ earnings growth. Post-merger, that multiple has compressed meaningfully, reflecting near-term ROA/ROE dilution and a more moderate growth outlook.

A durable re-rating likely requires three things to hold simultaneously: NIM bottoming out and beginning a gradual recovery as expensive wholesale bonds mature and are replaced by retail deposits; the CD ratio stepping down sequentially toward the historical comfort zone of 85–90%; and ROA working back toward the 2.0% level as the CRR/SLR drag is absorbed and cross-sell synergies materialize.

Conclusion

The HDFC Bank–HDFC Ltd merger remains one of the more complex pieces of financial engineering in Indian corporate history. The immediate aftermath — NIM compression, an elevated CD ratio, valuation downgrades — was largely predictable given the mechanics involved. The underlying franchise, though, is intact. As the bank works through wholesale-to-retail funding substitution, absorbs the regulatory liquidity drag, and builds out cross-sell revenue from the enlarged mortgage base, the conditions for a multi-year ROA recovery — and the re-rating that would likely follow — are gradually falling into place.